



SCHOOL LEVEL

Class: 12 Economics

Date:16/11/2024

Marks: 100

Name of the Student: _____

GENERAL INSTRUCTIONS

- 1. Read the questions carefully.**
- 2. Attempt all the questions.**
- 3. No negative marking.**
- 4. Answers to be marked in the OMR sheet. Darken the bubble completely. Partially darkened bubbles will not be considered.**
- 5. Question numbers 1 to 100 carries 1mark each.**

Read the following passage carefully and answer the questions:

"The dichotomy between economic growth and environmental sustainability has sparked intense debate. Proponents of growth argue that it is essential for development, while environmentalists contend that it comes at a devastating cost. The notion that these two goals are mutually exclusive is being challenged by innovative solutions. For instance, renewable energy sources and sustainable practices are being integrated into business models."

1. What is the central theme of the passage?
A) The importance of economic growth
B) The impact of environmental degradation
C) The balance between growth and sustainability
D) The role of technology in development
2. What do environmentalists argue in the consequence of economic growth?
A) Job creation
B) Increased revenue
C) Devastating environmental cost
D) Improved infrastructure
3. What is the challenging notion of mutual exclusivity?
A) Government policies
B) Public awareness
C) Innovative solutions
D) Economic downturn
4. What is being integrated into business models?
A) Fossil fuels
B) Renewable energy sources
C) Traditional practices
D) Economic theories
5. What does the word "dichotomy" mean in the context of the passage?
A) Harmony
B) Conflict
C) Balance
D) Division
6. If she had taken the job offer, she _____ in New York.
A) Would live
B) Would have lived
C) Will live
D) Lives
7. The company's profits _____ by 20% last quarter.
A) Have increased

- B) Have been increased
C) Were increased
D) Are increasing
8. The idiom "cut to the chase" means _____.
A) To hurry up
B) To get to the point
C) To change the subject
D) To apologize
9. Choose the correct preposition: The new policy applies _____ all employees.
A) With
B) To
C) By
D) From
10. Choose a synonym for the word "proponents"
A) Opponents
B) Supporters
C) Critics
D) Experts
11. Fill up suitably: I'm feeling under the weather today, so I think I'll _____.
A) Take it with a grain of salt
B) Call it a day
C) Bend over backwards
D) Burn the midnight oil
12. Fill up suitably: The Company is trying to _____ its financial problems by cutting costs.
A) Sweep under the rug
B) Take with a grain of salt
C) Turn a blind eye
D) Iron out
13. Fill up suitably: She's very talented, but she's also very _____ and doesn't like to share the spotlight.
A) On the same page
B) In the same boat
C) Burning her bridges
D) Hogging the limelight
14. Fill up suitably: I'm trying to _____ my fear of public speaking by practicing every day.
A) Get to the bottom of
B) Take by storm
C) Overcome
D) Let sleeping dogs lie
15. Fill up suitably: I'm trying to _____ my fear of public speaking by practicing every day.
A. Get to the bottom of
B. Take by storm
C. Overcome
D. Let sleeping dogs lie
16. 1. If she _____ (study) harder, she would have passed the exam.
A. Studies
B. Studied
C. Had studied
D. Would study
17. I would attend the party if I _____ (know) about it.
A. Knew
B. Know
C. Had known
D. Would know
18. Which word is a synonym for "skeptical"?
A. Doubtful
B. Hopeful

- C. Optimistic
- D. Pessimistic

19. Identify the meaning of the idiom "bend over backwards"?

- A. A)to help willingly
- B. b) To be stubborn
- C. c)to give up easily
- D. d) to accommodate

20. Fill in the blank with the correct form of the verb:

"By tomorrow evening, I _____ (finish) this project.

- A. will finish
- B. b)will be finished
- C. will have finished
- D. would finish

21. I wanted to attend the concert, _____ I couldn't afford the tickets.

- A. but
- B. although
- C. unless
- D. whereas

22. I remember that his dad _____ asks about his studies.

- A. Seldom
- B. Abroad
- C. Weekly
- D. evenly

23 Which of the following words is an adverb?

- A. Anxious
- B. Authority
- C. Well
- D. Perform

24 Select the sentence with the appropriate use of adverb of manner

- A. He done his work regularly.
- B. He has just done his work.
- C. He does his work carefully
- D. He has done his work on my table

25. Identify the type of Adverb given in bold and mark the correct option.

He drives carefully.

- A. Degree
- B. Manner
- C. Affirmation
- D. Reason

26. Which Indian state became the first to pass a resolution to appoint the Chief Minister as Chancellor of all state universities in 2023?

- A) Kerala
- B) West Bengal
- C) Maharashtra
- D) Tamil Nadu

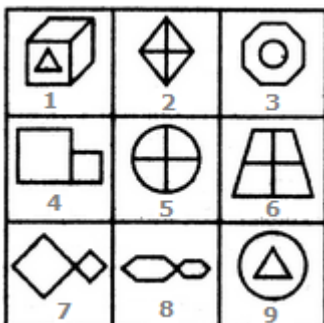
27. Which Indian film was selected as the country's official entry for the 2024 Academy Awards (Oscars)?

- A) RRR
- B) The Elephant Whisperers
- C) Jailer
- D) 2018

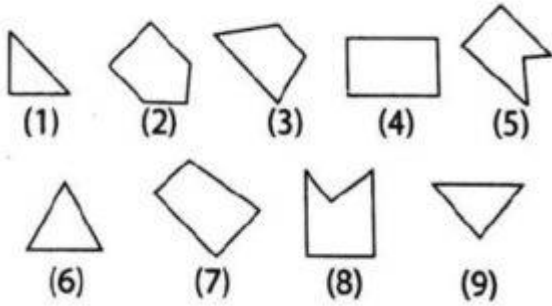
28. Which space agency successfully launched the Aditya-L1 mission, India's first mission to study the Sun, in September 2023?

- A) NASA
- B) ESA
- C) Roscosmos
- D) ISRO

29. In 2023, India hosted the G20 Summit under which of the following themes?
- one earth, one family, one future
 - Global Unity, Local Progress
 - Sustainable Development, Global Goals
 - Peace and Prosperity for All
30. Which Indian city was recently declared a UNESCO World Heritage Site in 2023?
- Kolkata
 - Varanasi
 - Ahmadabad
 - Hyderabad
31. In the recent 2023 cricket season, which Indian player became the fastest to score 1,000 runs in T20 internationals?
- Virat Kohli
 - Suryakumar Yadav
 - Shubman Gill
 - Hardik Pandya
32. Which city hosted the 18th Asian Games 2023 in which India won its highest-ever tally of medals?
- Tokyo
 - Hangzhou
 - Seoul
 - Jakar
33. Which Indian airport ranked first in the world for passenger satisfaction in 2023?
- Indira Gandhi International Airport, Delhi
 - Kempegowda International Airport, Bengaluru
 - Chhatrapati Shivaji Maharaja International Airport, Mumbai
 - Rajiv Gandhi International Airport, Hyderabad
34. What was the primary aim of the “Vibrant Villages Programme” launched by the Indian government in 2023?
- To develop coastal villages
 - To enhance border village infrastructure near China
 - To promote agriculture in rural areas
 - To create model smart villages
35. India’s new Parliament building, inaugurated in 2023, was designed by which prominent Indian architect?
- A)Hafeez Contractor
 - B) Bimal Patel
 - C) Charles Correa
 - D) Bal Krishna Doshi
36. Group the given figures into three classes using each figure only once.

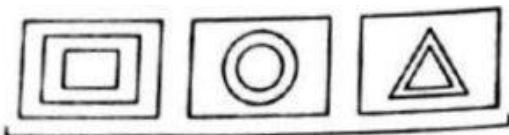


- 1,3,9 ; 2,5,6 ; 4,7,8
 - 1,3,9 ; 2,7,8 ; 4,5,6
 - 1,2,4 ; 3,5,7 ; 6,8,9
 - 1,3,6 ; 2,4,8 ; 5,7,9
 - None of these
37. In each of the following question, group the given figures into three classes using each figure only once.

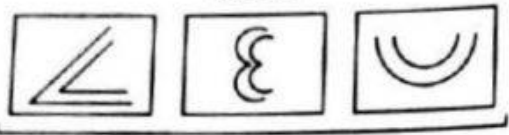


- A. (7, 8, 9) (2, 4, 3) (1, 5, 6)
- B. (1, 3, 3) (4, 5, 7) (6, 8, 9)
- C. (1, 6, 8) (3, 4, 7) (2, 5, 9)
- D. (1, 6, 9) (3, 4, 7) (2, 5, 8)
- E. none of the above

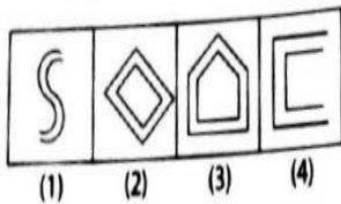
38. There are two classes of three figures each. Class 'A' figures differ in a certain way from the figures in class 'B'. Which of the four answer [figures](#) belong to class 'A'?



Class A

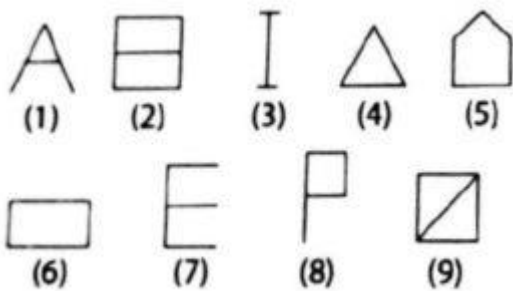


Class B



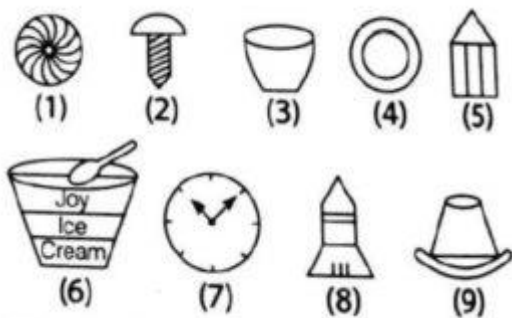
- A. Both (1) and (3)
- B. (1) and (2) both
- C. Both (2) and (4)
- D. (2) and (3) only
- E. none of the above

39. In the following question, group the given figures into three classes using each figure only once.



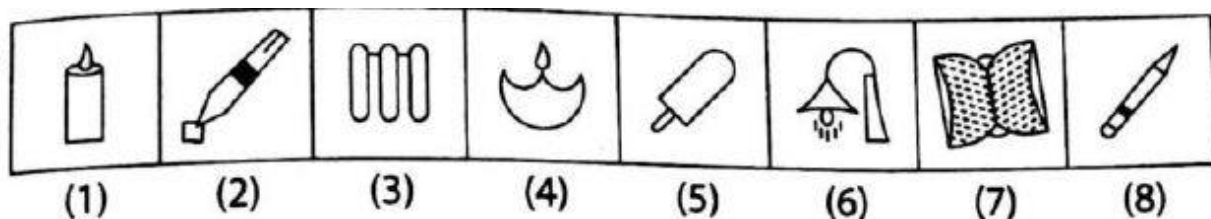
- A. (1, 3, 4) (2, 5, 9) (6, 7, 8)
- B. (1, 2, 3) (4, 5, 6) (7, 8, 9)
- C. (1, 5, 9) (2, 4, 7) (3, 6, 8)
- D. (3, 7, 8) (1, 6, 5) (4, 2, 9)
- E. none of the above

40. In the following question, group the given figures into three classes using each figure only once.



- A. (1, 4, 7) (2, 5, 8) (3, 6, 9)
- B. (1, 3, 6) (2, 5, 8) (4, 7, 9)
- C. (1, 2, 4) (3, 5, 8) (6, 7, 9)
- D. (1, 4, 9) (2, 5, 8) (3, 6, 7)
- E. none of the above

41. In the below question, a series of figures is given which can be grouped into classes. Select the group into which the figures can be classified from the given responses.



- A. (146, 35, 278)
- B. (258, 138, 46)
- C. (37, 145, 258)

D. (258, 16, 47)

E. none of the above

42. In a row of certain persons, Pradeep is sitting 463 from the left end and 531 from the right end. Find out the total number of persons in that row?

A. 963

B. 942

C. 993

D. Can't be determined

E. None of the above

43. In a row all the persons are facing north, Rahul is 33rd from the left end and in the right side of Rahul, there are only 16 persons. Find out total number of person in this queue?

A. 49

B. 50

C. 51

D. Can't be determined

E. None of these

44. In a row of 60 persons, Ganesh is 26th from left end. Find out his position from the right end.

A. 35

B. 36

C. 34

D. Can't be determined

E. None of the above

There is a certain relation between two given words on one side of :: and one word is given on another side of :: while another word is to be found from the given alternatives, having the same relation with this word as the given pair has.

45. **Cork: Pop:: Coins : ?**

A. Tinkle

B. Ring

C. Rattle

D. Zoom

E. None of these

46. **Octopus : Mollusca :: Earthworm : ?**

A. Vertebrata

B. Arthropod

C. Platyhelminthes

D. Annelida

E. None of these

47. **Which of the following is the same as Nepal, Bhutan, Myanmar ?**

A. Pakistan

B. Thailand

- C. Malaysia
- D. Indonesia

E. None of these

48. Which of the following is the same as Chemistry, Physics, Biology ?

- A. English
- B. Science
- C. Maths
- D. Hindi

E. None of these

49. Which of the following is the same as LBW, Bowled, Caught?

- A. Six
- B. Four
- C. Run out
- D. No ball

E. None of these

50. 'Warning' is related to 'Danger' in the same way 'Mystery' is related to _____?

- A. Clue
- B. Risk
- C. History
- D. Direction

E. None of these

51. A country experiences a significant increase in both exports and imports. Which of the following scenarios is most likely to explain this phenomenon?

- (A) A depreciation of the domestic currency.
- (B) An increase in domestic income levels.
- (C) A decrease in tariffs on imported goods.
- (D) All of the above.

52. A government implements a policy to reduce income inequality. Which of the following measures is most likely to be effective in achieving this goal?

- (A) A flat tax system.
- (B) Increased government spending on social welfare programs.
- (C) Reduced government regulation of the labor market.
- (D) None of the above.

53. A country experiences a significant increase in its current account deficit. Which of the following policies could be used to address this deficit?

- A. Devaluation of the domestic currency.
- B. Increased interest rates.
- C. Reduced government spending.
- D. All of the above.

54. A central bank implements a policy of quantitative easing. What is the primary goal of this policy?

- A. To reduce inflation.
- B. To increase the money supply.
- C. To reduce government debt.
- D. To increase interest rates.

55. A country experiences a significant increase in its foreign direct investment (FDI). Which of the following is most likely to be a benefit of this FDI?

- A. Increased job opportunities.
- B. Transfer of technology.
- C. Increased competition in the domestic market.
- D. All of the above.

56. National Income is the

- A. Total value of goods and services produced in a country
- B. Total income earned by factors of production
- C. Both (a) and (b)
- D. None of the above

57. Which of the following is not a component of GDP?

- A. Consumption
- B. Investment
- C. Government expenditure
- D. Exports

58. The difference between GDP and GNP is

- A. Net exports
- B. Net factor income from abroad
- C. Depreciation
- D. Indirect taxes

59. Personal disposable income is

- A. Personal income – personal taxes
- B. Personal income + personal taxes
- C. National income – personal taxes
- D. National income + personal taxes

60. The investment multiplier is

- A. $1/(1-MPC)$
- B. $1/(MPC-1)$
- C. $1/(1+MPC)$
- D. $MPC/(1-MPC)$

61. Money is

- A. A medium of exchange
- B. A store of value
- C. A unit of account
- D. All of the above

62. The Reserve Bank of India is the

- A. Central bank of India
- B. Commercial bank of India
- C. Cooperative bank of India
- D. None of the above

63. Open market operations are

- A. Buying and selling of government securities by the RBI
- B. Lending money to commercial banks by the RBI
- C. Changing the CRR by the RBI
- D. None of the above

64. The CRR is the

- A. Cash Reserve Ratio
- B. Current Ratio
- C. Capital Reserve Ratio
- D. None of the above

65. Inflation is

- A. A rise in general price level
- B. A fall in general price level
- C. No change in general price level
- D. None of the above

66. Aggregate demand is

- A. The total demand for goods and services in an economy
- B. The total supply of goods and services in an economy
- C. The difference between total demand and total supply
- D. None of the above

67. Aggregate supply is

- A. The total supply of goods and services in an economy
- B. The total demand for goods and services in an economy
- C. The difference between total demand and total supply
- D. None of the above

68. Equilibrium level of income is achieved when

- A. Aggregate demand is greater than aggregate supply
- B. Aggregate supply is greater than aggregate demand
- C. Aggregate demand is equal to aggregate supply
- D. None of the above

69. Excess demand leads to

- A. Inflation
- B. Deflation
- C. No change in price level
- D. None of the above

70. Deficient demand leads to

- A. Inflation
- B. Deflation
- C. No change in price level
- D. None of the above

71. A government budget is a

- A. Statement of government's revenue and expenditure
- B. Statement of government's assets and liabilities
- C. Statement of government's policies
- D. None of the above

72. Revenue receipts of the government include

- A. Taxes
- B. Borrowings
- C. Profits from public sector enterprises
- D. All of the above

73. Expenditure receipts of the government include

- A. Taxes
 - B. Borrowings
 - C. Profits from public sector enterprises
 - D. All of the above
74. A budget deficit occurs when
- A. Government expenditure is greater than government revenue
 - B. Government expenditure is less than government revenue
 - C. Government expenditure is equal to government revenue
 - D. None of the above
75. Fiscal policy is concerned with
- A. Government revenue and expenditure
 - B. Money supply and interest rates
 - C. (c)Both (a) and (b)
 - D. None of the above
76. Foreign exchange is
- A. Money used in international transactions
 - B. Money used in domestic transactions
 - C. Both (A) and (B)
 - D. None of the above
77. The balance of payments is a
- A. Record of a country's economic transactions with other countries
 - B. Record of a country's domestic transactions
 - C. Both (A) and (B)
 - D. None of the above
78. The current account of the balance of payments includes
- A. Trade in goods and services
 - B. Income receipts and payments
 - C. Transfers
 - D. All of the above
79. The capital account of the balance of payments includes
- A. Investment in foreign assets
 - B. Borrowing from abroad
 - C. Both (A) and (B)
 - D. None of the above
80. A balance of payments deficit occurs when
- A. Total credits are greater than total debits
 - B. Total debits are greater than total credits
 - C. Total credits are equal to total debits
 - D. None of the above
81. A country experiences a natural disaster that destroys a significant portion of agricultural crops. How will this likely affect the national income measures (GDP and GNP)?
- A. Increase GDP and GNP due to government relief spending.
 - B. Decrease GDP and GNP due to loss of production.
 - C. Impact depends on the type of disaster and government response.
 - D. No change in national income measures.
82. A company expands its operations by opening new factories in a foreign country. How will this transaction affect the national income of both countries?
- A. Increase GDP in both countries.
 - B. Increase GDP in the home country, decrease GDP in the foreign country.

- C. No change in GDP for either country.
- D. The impact depends on the type of production.

83. The government implements a policy to encourage people to save more money by offering tax breaks on interest income. How might this policy affect the banking system and economic activity?

- A. Increased savings lead to more funds available for banks to lend, potentially boosting investment and economic growth.
- B. Reduced money circulation might lead to lower aggregate demand and slower economic growth.
- C. The impact depends on how the tax breaks are structured.
- D. This policy will have no significant effect on the economy.

84. Imagine a situation where people lose trust in the banking system and start withdrawing large amounts of cash to keep at home. What are some potential consequences of this scenario:

- A. Reduced liquidity in banks, leading to tighter credit conditions and potentially lower economic activity.
- B. Increased risk of theft and loss of money held outside the banking system.
- C. Both (A) and (B)
- D. The consequences depend on the severity of the situation.

85. The government introduces a program to provide unemployment benefits to those who lose their jobs. Analyze the potential impact of this program on aggregate demand and economic activity.

- A. Increased government spending might stimulate aggregate demand and economic growth.
- B. Unemployment benefits might discourage people from actively seeking new jobs.
- C. The impact depends on the design and funding of the program.
- D. This program will have no significant effect on the economy.

86. A country experiences a significant increase in the price of oil, a major import. How will this likely affect aggregate demand and aggregate supply in the short run?

- A. Aggregate demand might decrease due to higher import costs, while aggregate supply remains unchanged.
- B. Aggregate supply might decrease due to higher production costs, while aggregate demand remains unchanged.
- C. Both aggregate demand and aggregate supply might decrease.
- D. The impact depends on government intervention.

87. A government experiences a significant decline in tax revenue due to a recession. How can the government maintain its spending levels in this scenario?

- A. Increase government borrowing, potentially leading to higher national debt.
- B. Reduce government spending on non-essential programs.
- C. Both (A) and (B)
- D. The government has no options to maintain spending levels.

88. Imagine a situation where a government consistently runs a budget surplus year after year. Analyze the potential long-term implications of this situation.

- A. Reduced national debt and potential for tax cuts in the future.
- B. Lower aggregate demand due to less government spending, potentially slowing economic growth.
- C. Both (A) and (B)
- D. The consequences depend on how the surplus is used.
- E. Foreign Exchange and Balance of Payments

89. A country experiences a significant increase in tourism. How will this likely affect its balance of payments?

- A. Increase in the current account due to higher service exports.
- B. Increase in the capital account due to foreign investment in tourism infrastructure.
- C. Both (A) and (B)
- D. The impact depends on the type of tourism.

90. Suppose in a hypothetical economy, the income rises from ₹6,000 crores to ₹7,000 crores. As a result, the consumption expenditure rises by 600 crores. Marginal Propensity to Consume in such a case would be
- A. 0.8
 - B. 1.6
 - C. 0.2
 - D. 0.6
91. A country experiences a significant increase in government spending on infrastructure projects. This will likely lead to a rise in which of the following national income measures?
- A. GDP only
 - B. GNP only
 - C. Both GDP and GNP
 - D. Neither GDP nor GNP
92. A family receives a dividend payment from a company located abroad. How will this transaction affect the country's national income?
- A. Increase GDP and GNP
 - B. Increase GDP but not GNP
 - C. Decrease GDP and GNP
 - D. No change in GDP or GNP
93. The Reserve Bank of India increases the Cash Reserve Ratio (CRR). What is the most likely impact on commercial banks?
- A. They will hold more reserves, reducing lending capacity.
 - B. They will hold less reserves, increasing lending capacity.
 - C. (c) There will be no change in lending capacity.
 - D. The impact depends on the interest rate.
94. A cashless society is often promoted as a way to reduce crime. Explain why this might be true.
- A. Less physical cash reduces opportunities for theft and robbery.
 - B. Electronic transactions leave a clear audit trail, aiding law enforcement.
 - C. Both (A) and (B)
 - D. Neither (A) nor (B)
 - E. Income Determination
95. The government implements a policy to encourage investment in renewable energy projects. How might this policy affect aggregate demand and economic growth?
- A. Increase aggregate demand, leading to higher economic growth.
 - B. Decrease aggregate demand, leading to lower economic growth.
 - C. Increase aggregate supply, leading to lower prices and potentially higher growth.
 - D. The impact depends on the specific type of renewable energy project.
96. Imagine a situation where aggregate demand is consistently higher than aggregate supply. What are some potential consequences of this scenario?
- A. Inflationary pressure, rising prices, and potential shortages.
 - B. Deflationary pressure, falling prices, and excess production capacity.
 - C. No change in the price level, but increased economic activity.
 - D. The consequences depend on government intervention.
 - E. Government Budget
97. A government runs a budget deficit year after year. Analyze the potential long-term implications of this situation.
- A. Increased national debt, potentially crowding out private investment.
 - B. Higher inflation if the deficit is financed through money printing.
 - C. Both (A) and (B)

D. The consequences depend on how the deficit is used.

98. Explain the concept of “balanced budget multiplier.” How does it differ from the traditional investment multiplier?

- A. Balanced budget multiplier considers government spending financed by taxes, leading to a smaller multiplier effect.
- B. Traditional multiplier focuses on investment, while balanced budget considers both spending and taxes.
- C. Balanced budget multiplier has a negative effect on the economy.
- D. There is no difference between the two concepts.

99. A country experiences a significant increase in foreign direct investment (FDI). How will this likely affect its balance of payments?

- A. Increase in the capital account and potential appreciation of the currency.
- B. Increase in the current account and potential depreciation of the currency.
- C. Decrease in both current and capital accounts.
- D. The impact depends on the type of FDI.

100. Explain how currency devaluation can be used as a tool to improve a country’s trade balance.

- A. A cheaper currency makes exports more competitive and imports more expensive.
 - B. Devaluation leads to higher inflation, reducing domestic demand for imports.
 - C. Both (A) and (B)
 - D. Devaluation has no impact on the trade balance
- A)
